

U.S. IT Hardware

Apple Inc

Rating

Outperform

Price Target



370.00 USD (350.00 OLD)

31 July 2026

Price Target Change



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AAPL FQ3'26: Memflation takes a bite out of the Apple

Apple's FQ2'26 delivered a modest beat: Revenue was \$109.4B, up 16.4% YoY, toward the middle of management's guided range of 14-17% growth. EPS at \$2.02, but excluding the \$0.11 benefit from tariff refunds, underlying EPS of \$1.91 was only modestly ahead of consensus at \$1.89. Reported gross margin was 50.1%; adjusting for the roughly 200 bps benefit from tariff refunds, underlying gross margin was 48.1%, essentially at the midpoint of the company's 47.5-48.5% guidance range.

FQ4'26 guidance came in below expectations: Apple guided September quarter revenue growth to 9-11% YoY, implying a meaningful slowdown from the mid-teens growth seen in the past three quarters - driven by both FX headwind and supply constraints. Gross margin was guided 47-48%, including a 100 bps benefit from tariff refunds. Exc tariff refunds, this implies ~160 bps of margin compression versus FQ3's adjusted gross margin of 48.1%, reflecting **ongoing memory cost inflation**.

Gross margin better than feared but further downside from Memflation lies ahead. Memory costs stepped up sequentially again in the June quarter and we expect a further increase in FQ4 and into FY27, partially offset by lower non-memory BOM costs.

Share gains in iPhones & Macs playing out and expected to continue. As we laid out in our [Apple Deep Dive](#) and in our analysis of [Apple vs. Samsung](#), Apple has a once in a generation opportunity to gain market share now and this is playing out.

Tweaked estimates down reflecting Memflation, higher R&D costs, FX, and supply constraints. We lower our EPS to \$10.03 and \$11.28 for FY27 and 28 respectively on slightly weaker revenue, lower product gross margins due to memory costs and higher R&D costs. We remain 5% above consensus for FY28.

Investment Implications

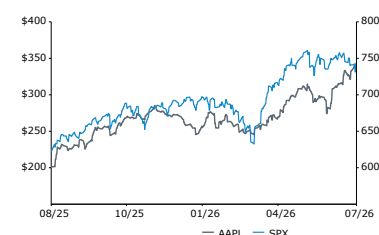
We rate **Apple Outperform**, incr. TP to **\$370 on 33x FY28 EPS** or 29.5x EV/FCF (prev. FY27). We worry about rising memory cost pressures but see Apple's position as unrivaled. AI also presents a new opportunity for Apple which will take longer to play out.

Adjusted EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	25A	26E	27E
AAPL (USD)	7.46	8.85	10.03	Revenues (M)	416,161	477,056	533,070	--	EV/GP (x)	24.6	20.7	19.1
OLD	--	8.87	10.65	Gross Margin (%)	46.9	48.7	47.3	--	Adjusted P/E (x)	44.7	37.7	33.3
				Operating Margin (%)	32.0	32.9	32.4	--	Reported P/E (x)	44.7	37.7	33.3
				EPS Growth (%)	22.9	18.6	13.3	--	Div Yield (%)	0.3	0.3	0.3

Source: Bloomberg, Bernstein estimates and analysis.

Close Date	30 Jul 2026
AAPL Close Price (USD)	333.43
Price Target (USD)	370.00
Upside/(Downside)	11%
52-Week Range	344.57/201.50
SPX	7,437.63
FYE	Sep
Div Yield	0.3%
Market Cap (USD) (B)	4,871.07
EV (USD) (B)	4,808.89
Performance	YTD 1M 6M 12M
Absolute (%)	22.6 15.2 28.5 60.6
SPX (%)	8.6 (0.8) 7.2 16.9
Relative (%)	14.0 16.1 21.3 43.7
Source: Bloomberg, Bernstein estimates and analysis.	

Price Performance, 1YR



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DETAILS

Minor Beat of FQ3'26 with Soft FQ4 Outlook:

- FQ3'26 delivered only a modest beat.** Revenue at \$109.4B, up 16.4% YoY, toward the middle of management's guided range of 14-17% growth. EPS at \$2.02, but excluding the \$0.11 benefit from tariff refunds, **underlying EPS of \$1.91 was only modestly ahead of consensus at \$1.89.** Reported gross margin was 50.1%; adjusting for the roughly 200 bps benefit from tariff refunds, underlying gross margin was 48.1%, essentially at the midpoint of the company's 47.5-48.5% guidance range.
- FQ4'26 guidance came in below expectations.** Apple guided September quarter revenue growth to 9-11% YoY, implying a meaningful slowdown from the mid-teens growth seen in the past three quarters - driven by both FX headwind and supply constraint.
- Supply constraints were primarily driven by the limited availability of the advanced nodes which SOCs are produced on. Into September quarter, Apple continue to expect high levels of demand. However, with less flexibility in supply chain, the impact from the supply constraints is expected to increase significantly. The projected supply constraints in the September quarter, will affect iPhone, Mac, and iPad broadly.
- Gross margin is expected to be 47-48%, including a 100 bps benefit from tariff refunds. At the midpoint, this implies roughly 160 bps of sequential margin compression versus FQ3's adjusted gross margin of 48.1%, reflecting ongoing memory cost inflation and the exhaustion of benefit from carry-in inventory. Management also indicated that September quarter Services growth should track roughly 9.5%, consistent with June quarter growth excluding the 2.5% FX headwind, while iPhone revenue is expected to grow in the mid-teens, down from the 20%+ growth rates seen in recent quarters.

Product revenue reached \$78.7 billion (vs. consensus of \$77.2 billion), up 18% YoY, driven almost entirely by double-digit growth in both iPhone and Mac. Product gross margin was 40.1% (vs. consensus of 36.4%), improving 140 bps sequentially, including a favorable 250 bps benefit from tariff refunds. iPhone revenue at \$54.3 billion (vs. consensus of \$53.6 billion), up 22% YoY. Mac revenue was particularly impressive at \$10.4 billion (vs. consensus of \$8.6 billion), growing 29% YoY, supported by strong demand for the MacBook Neo and MacBook Pro. **Management specifically highlighted two AI workload use cases for Mac during the earnings call: 1) using Mac mini as a powerful platform for agentic AI and 2) deploying clusters of Mac Studio systems to run frontier-class models locally.** The good result in Mac and iPhone were achieved despite ongoing supply constraints, which were most pronounced in the Mac portfolio and, to a lesser extent, in iPhone and iPad. Looking ahead to the September quarter, supply constraints are expected to become more broad-based, affecting iPhone, Mac, and iPad, with limited flexibility across the supply chain to meaningfully mitigate the impact.

Services revenue reached \$30.7B (missed consensus of \$31.4 billion), **up 12% yoy** though decelerating from the 16% growth in the March quarter primarily due to FX, with softer mobile gaming, App Store business-model and regulatory changes, and a tough comp against the F1 theatrical release also weighing on growth. Despite the deceleration, the underlying franchise remains healthy: Apple set revenue records in every Services category, including all-time highs in cloud services and payment services, surpassed 1.5B paid subscriptions, and posted all-time-high transacting and paid accounts with double-digit growth in emerging markets. Management expects September quarter's underlying Services growth before FX impact to remain broadly similar to June (12%), but they anticipate an incremental 2.5pt FX headwind, which implies reported growth of roughly 9.5% yoy. Going forward, we expect Apple's 2.5B+ active-devices installed base to remain the key long-term support for this segment.

Total company gross margin of 50.1% (up 80bp qoq) came in better than the Street feared, largely driven by a roughly 2-point tariff-refund benefit; excluding this benefit, gross margin was ~48.1%, at the midpoint of prior guidance. Services margin softened 110bp qoq to 75.6% on mix, while product margin of 40.1% got the bulk of the tariff lift. **The real story is Memflation:** management confirmed costs stepped up sequentially again in the June quarter and expects a further increase in September, partially cushioned by carry-in inventory benefits and lower non-memory BOM costs, although the inventory benefit is expected to diminish beyond September. Management also explicitly framed the Mac and iPad price increases as a reluctant response to what Cook characterized as a "hundred-year flood" in memory pricing.

Management commented that the DRAM industry remains concentrated among three primary suppliers, and that additional suppliers could help alleviate supply constraints and potentially pricing. Apple is therefore exploring other options in DRAM sourcing. If the company decides to move forward with a fourth supplier we believe this may be CXMT, although such a move

could attract [political backlash](#).

This memory pressure is already embedded in the September GM guide of 47%–48% gross margin, which includes a ~1-point tariff refund benefit versus ~2 points this quarter. At the midpoint, the GM guide reflects 260bps qoq decline, of which 100 bps reflect the lower tariff benefit, while tariff-adjusted GM declines 160bps. Management indicated that more than 100% of this adjusted decline is attributable to memory inflation, with other cost and mix benefits partially offsetting this pressure.

Tweaked estimates down reflecting Memflation, higher R&D costs, FX, and supply constraints. We lower our EPS to \$10.03 and \$11.28 for FY27 and 28 respectively on slightly weaker revenue, lower product gross margins due to memory costs and higher R&D costs. We remain 5% above consensus for FY28.

We rate Apple Outperform, incr. TP to \$370 on 33x FY28 EPS or 29.5x EV/FCF (prev. FY27). We worry about rising memory cost pressures but see Apple's position as unrivaled in consumer electronics with the potential to continue to gain share in smartphones and PCs. AI also presents a new opportunity for Apple which will take longer to play out.

EXHIBIT 1: AAPL Bernstein vs Actual vs Consensus

2026Q3					
(\$USD Millions)	Reported	Bernstein	Delta	Consensus	Delta
Revenue	\$109,417	\$109,090	0.3%	\$108,853	0.5%
Gross Profit	\$54,770	\$52,432	4.5%	\$52,126	5.1%
Gross Margin %	50.1%	48.1%	199bps	47.9%	217bps
Op. Profit	\$35,695	\$33,432	6.8%	\$33,424	6.8%
OP Margin %	32.6%	30.6%	198bps	30.7%	192bps
Net Income	\$29,789	\$27,583	8.0%	\$27,711	7.5%
EPS (\$ per share)	\$2.02	\$1.89	7.4%	\$1.89	7.3%
Adj FCF	\$31,914	\$29,608	7.8%	\$29,829	7.0%

Source: Company reports, Bernstein estimates and analysis, Bloomberg Consensus

EXHIBIT 2: AAPL Model Before vs. After

(\$USD Millions)	FY 2026E			FY 2027E			FY 2028E		
	New	Old	Delta	New	Old	Delta	New	Old	Delta
Revenue	\$477,056	\$479,820	-0.6%	\$533,070	\$538,682	-1.0%	\$571,246	\$575,846	-0.8%
Gross Profit	\$232,344	\$231,837	0.2%	\$252,233	\$255,672	-1.3%	\$274,548	\$276,937	-0.9%
Gross Margin %	48.7%	48.3%	39bps	47.3%	47.5%	-15bps	48.1%	48.1%	-3bps
Op. Profit	\$156,747	\$157,062	-0.2%	\$172,750	\$180,775	-4.4%	\$188,741	\$190,783	-1.1%
OP Margin %	32.9%	32.7%	12bps	32.4%	33.6%	-115bps	33.0%	33.1%	-9bps
Net Income	\$130,409	\$130,248	0.1%	\$144,246	\$151,851	-5.0%	\$158,543	\$160,258	-1.1%
EPS (\$ per share)	\$8.85	\$8.87	-0.2%	\$10.03	\$10.65	-5.9%	\$11.28	\$11.60	-2.8%
Adj FCF	\$134,021	\$137,838	-2.8%	\$162,812	\$166,275	-2.1%	\$176,579	\$177,189	-0.3%

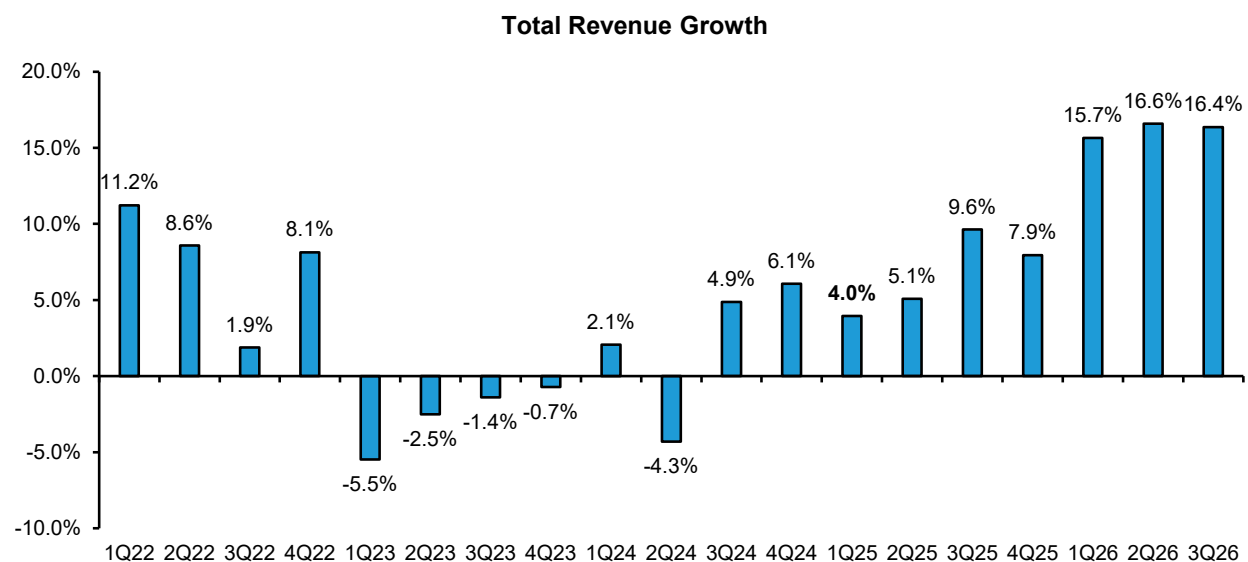
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 3: AAPL Bernstein vs Consensus

AAPL	FY26E	FY27E	FY28E
Total Revenues (\$M)			
Consensus	\$478,538	\$523,303	\$559,932
Actual / Bernstein Est.	\$477,056	\$533,070	\$571,246
<i>Bernstein vs. Cons.</i>	-0.3%	1.9%	2.0%
Company GMs	48.2%	47.6%	48.2%
vs. Bernstein	48.7%	47.3%	48.1%
Opex (\$M)	\$75,318	\$81,133	\$86,497
vs. Bernstein	\$75,597	\$79,484	\$85,806
EPS (\$)			
Consensus	\$8.76	\$9.68	\$10.75
Actual / Bernstein Est.	\$8.85	\$10.03	\$11.28
<i>Bernstein vs. Cons.</i>	1.1%	3.6%	4.9%
FCF (\$)			
Consensus	\$139,842	\$152,976	\$165,934
Actual / Bernstein Est.	\$134,021	\$162,812	\$176,579
<i>Bernstein vs. Cons.</i>	-4.2%	6.4%	6.4%

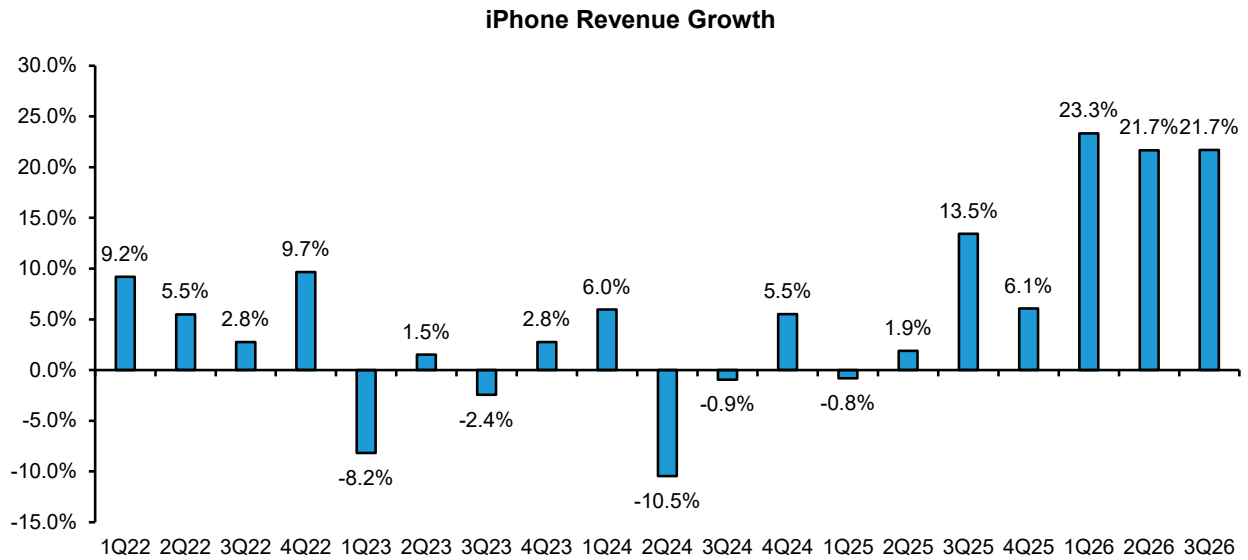
Source: Bloomberg, Bernstein estimates and analysis

EXHIBIT 4: Total Revenue Growth



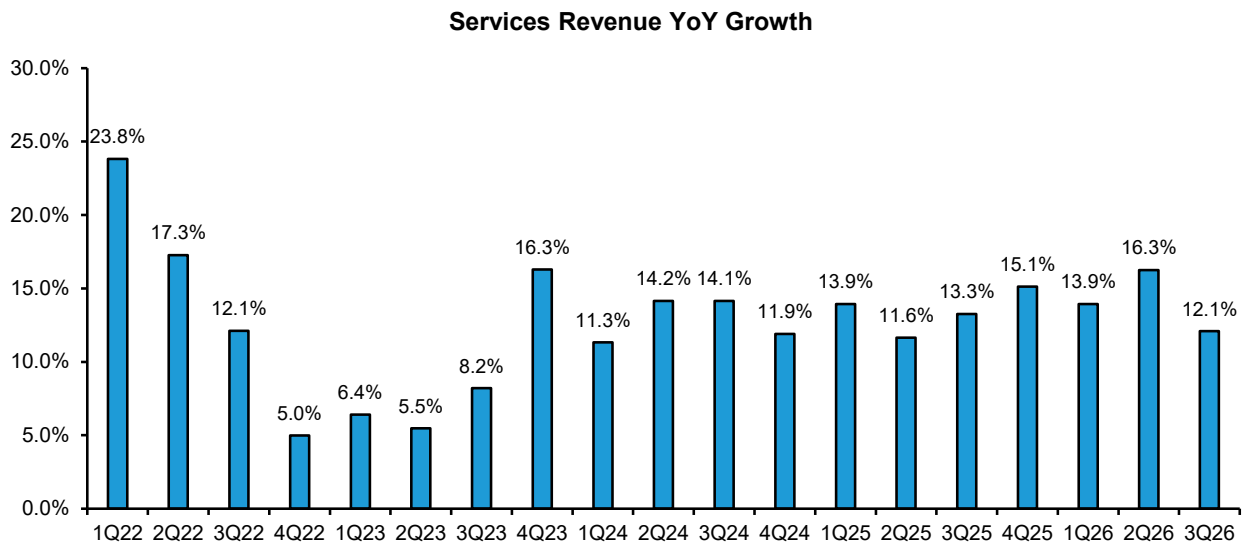
Source: Company reports, Bernstein analysis

EXHIBIT 5: iPhone Revenue Growth

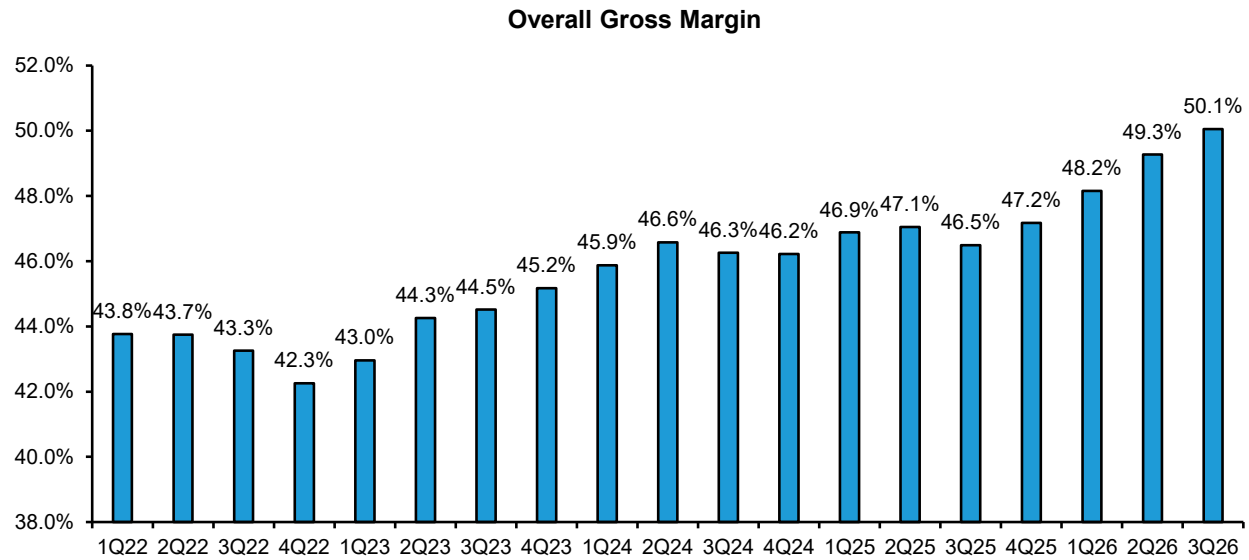


Source: Company reports, Bernstein analysis

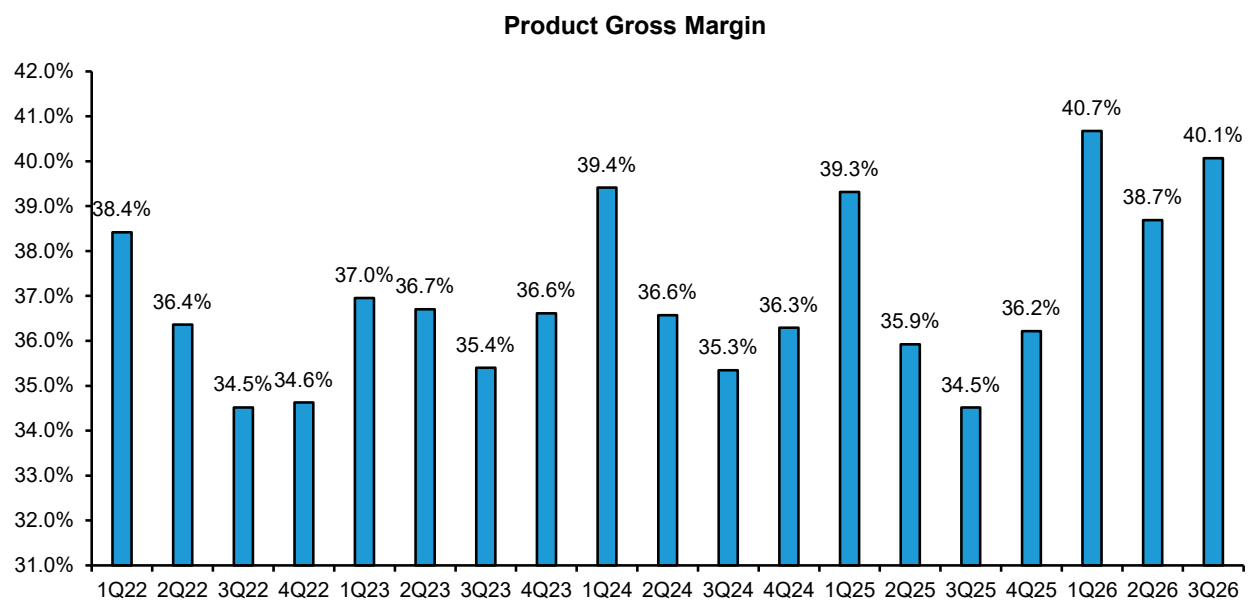
EXHIBIT 6: Services YoY Growth



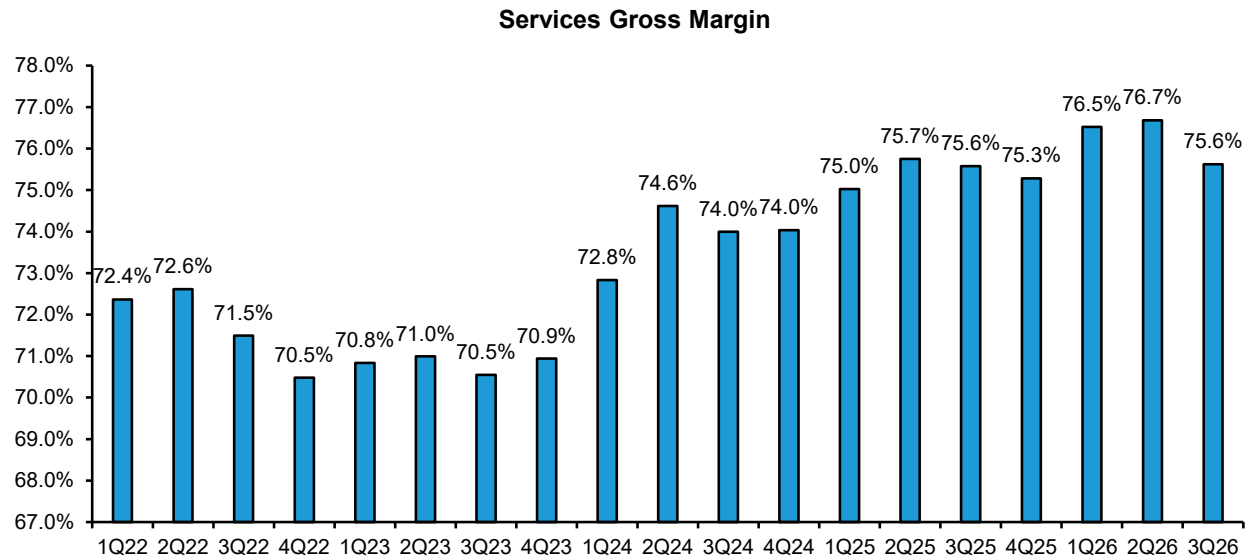
Source: Company reports, Bernstein analysis

EXHIBIT 7: **Apple gross margin**

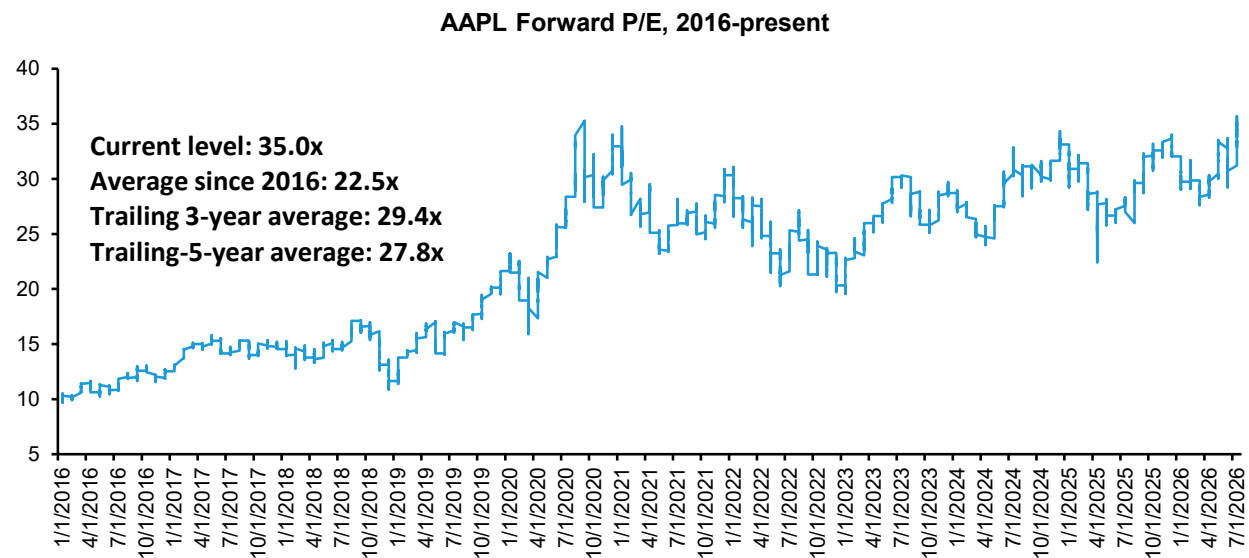
Source: Company reports, Bernstein analysis

EXHIBIT 8: **Product Gross Margin**

Source: Company reports, Bernstein analysis

EXHIBIT 9: **Services gross margin**


Source: Company report, Bernstein analysis

EXHIBIT 10: **AAPL P/FE, 2016 - Present**


Source: Bloomberg (updated as of 7/30/2026), Bernstein Analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 11: AAPL Income Statement

Fiscal Periods:	2025	2026E	2027E	2028E	1Q26	2Q26	3Q26	4Q26E
Net Sales	416,161	477,056	533,070	571,246	143,756	111,184	109,417	112,699
Cost of Goods Sold	220,960	244,711	280,836	296,699	74,525	56,403	54,647	59,136
Gross Income	195,201	232,344	252,233	274,548	69,231	54,781	54,770	53,562
	0%	0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Research & Development	34,550	45,782	48,987	53,126	10,887	11,419	11,729	11,747
Selling, General, & Administrative	27,601	29,815	30,496	32,681	7,492	7,477	7,346	7,500
Operating Income	133,050	156,747	172,750	188,741	50,852	35,885	35,695	34,315
Interest and Other, Net (excludes gains/losse	(321)	1,020	-	-	150	(52)	572	350
Income Before Tax	132,729	157,767	172,750	188,741	51,002	35,833	36,267	34,665
Income Taxes (ex. 1-time items)	20,719	27,358	28,504	30,199	8,905	6,255	6,478	5,720
Net Income	112,010	130,409	144,246	158,543	42,097	29,578	29,789	28,945
Average Shares Outstanding, Basic	14,948	14,671	14,314	13,979	14,748	14,673	14,656	14,605
Earnings Per Share, Basic	\$ 7.49	\$ 8.89	\$ 10.08	\$ 11.34	\$ 2.85	\$ 2.02	\$ 2.03	\$ 1.98
Average Shares Outstanding, Diluted	15,016	14,736	14,388	14,053	14,810	14,726	14,715	14,663
Earnings Per Share, Diluted	\$ 7.46	\$ 8.85	\$ 10.03	\$ 11.28	\$ 2.84	\$ 2.01	\$ 2.02	\$ 1.97
EPS 5yr CAGR	18.0%	9.6%	10.4%	13.0%				
TRENDS, Post-FAS123(R)								
Key Ratios								
COGS as % of Sales	53.1%	51.3%	52.7%	51.9%	51.8%	50.7%	49.9%	52.5%
Gross Margin	46.9%	48.7%	47.3%	48.1%	48.2%	49.3%	50.1%	47.5%
R&D as % of Sales	8.3%	9.6%	9.2%	9.3%	7.6%	10.3%	10.7%	10.4%
SG&A as % of Sales	6.6%	6.2%	5.7%	5.7%	5.2%	6.7%	6.7%	6.7%
Operating Margin	32.0%	32.9%	32.4%	33.0%	35.4%	32.3%	32.6%	30.4%
Tax rate	15.6%	17.3%	16.5%	16.0%	17.5%	17.5%	17.9%	16.5%
Net Margin	26.9%	27.3%	27.1%	27.8%	29.3%	26.6%	27.2%	25.7%
Y/Y Change								
Net Sales	-	-	-	-	-	-	-	-
Gross Income	6.4%	14.6%	11.7%	7.2%	15.7%	16.6%	16.4%	10.0%
R&D	8.0%	19.0%	8.6%	8.8%	18.8%	22.1%	25.3%	10.8%
SG&A	10.1%	32.5%	7.0%	8.4%	31.7%	33.6%	32.3%	32.5%
Operating Income	5.8%	8.0%	2.3%	7.2%	4.4%	11.1%	10.5%	6.4%
Net Income	8.0%	17.8%	10.2%	9.3%	18.7%	21.3%	26.6%	5.8%
Diluted Shares	19.5%	16.4%	10.6%	9.9%	15.9%	19.4%	27.1%	5.4%
EPS, Diluted	(426)	(280)	(349)	(335)	(341)	(330)	(234)	(200)
	22.9%	18.6%	13.3%	12.5%	18.5%	22.0%	29.1%	6.8%

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 12: AAPL Revenue Model

AAPL Revenue Model

Fiscal Periods: Revenues (\$M)	2025	2026E	2027E	2028E	1Q26	2Q26	3Q26	4Q26E
iPhone	209,586	252,861	287,791	306,800	85,269	56,994	54,252	56,346
iPad	28,023	28,304	28,587	29,159	8,595	6,914	6,191	6,604
Mac	33,708	36,561	39,852	42,641	8,386	8,399	10,352	9,424
iTunes/Software/Services	109,158	123,310	138,913	152,633	30,013	30,976	30,739	31,582
Wearables	30,073	29,474	30,400	31,357	10,479	5,606	5,976	7,414
Apple Watch	17,066	16,798	17,469	18,168	6,930	3,131	2,891	3,846
AirPods and Beats	13,008	12,677	12,930	13,189	3,548	2,475	3,085	3,568
Other Products	5,613	6,545	7,527	8,656	1,014	2,295	1,907	1,329
Total Revenues	416,161	477,056	533,070	571,246	143,756	111,184	109,417	112,699
Memo: Other Products (reported)	\$35,686	\$36,019	\$37,927	\$40,013	\$11,493	\$7,901	\$7,883	\$8,742
Y/Y Change in Revenues								
iPhone	4.2%	20.6%	13.8%	6.6%	23.3%	21.7%	21.7%	14.9%
iPad	5.0%	1.0%	1.0%	2.0%	6.3%	8.0%	-5.9%	-5.0%
Mac	12.4%	8.5%	9.0%	7.0%	-6.7%	5.7%	28.7%	8.0%
0	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
iTunes/Software/Services	13.5%	13.0%	12.7%	9.9%	13.9%	16.3%	12.1%	9.9%
Wearables	-3.3%	-2.0%	3.1%	3.1%	1.0%	-8.0%	1.0%	-3.5%
Apple Watch	-3.4%	-1.6%	4.0%	4.0%	2.0%	-8.0%	1.0%	-4.0%
AirPods and Beats	-3.2%	-2.5%	2.0%	2.0%	-1.0%	-8.0%	1.0%	-3.0%
Other Products	-4.8%	16.6%	15.0%	15.0%	-25.9%	60.7%	28.2%	0.0%
Total Revenues	6.4%	14.6%	11.7%	7.2%	15.7%	16.6%	16.4%	10.0%
Units (000)								
iPhone	236,800	258,356	256,433	265,408	84,000	62,300	55,200	56,856
Y/Y Change in Units								
iPhone	7.0%	9.1%	-0.7%	3.5%	14.1%	9.5%	9.5%	1.7%
Sequential Change in Units								
iPhone	-	-	-	-	50.3%	-25.8%	-11.4%	3.0%
ASPs (\$)								
iPhone	885	979	1,122	1,156	1,015	915	983	991
Y/Y Change in ASPs								
iPhone	-2.6%	10.6%	14.7%	3.0%	8.1%	11.1%	11.1%	13.0%
Sequential Change in ASPs								
iPhone	-	-	15%	3.0%	15.7%	-9.9%	7.4%	0.8%

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 13: AAPL Balance Sheet

AAPL Balance Sheet

Fiscal Periods:	2025	2026E	2027E	2028E	1Q26	2Q26	3Q26	4Q26E
Cash	35,934	38,588	50,844	64,153	45,317	45,572	39,544	38,588
Short-term Investments	18,763	22,855	22,855	22,855	21,590	22,935	22,855	22,855
Accounts Receivable	39,777	37,052	50,512	54,129	39,921	30,339	31,398	37,052
Inventory	5,718	9,721	11,014	12,193	5,875	6,747	11,092	9,721
Vendor non-trade receivables	33,180	29,769	38,332	40,497	30,399	23,172	27,509	29,769
Other current assets	14,585	17,942	16,765	17,965	15,002	15,349	17,420	17,942
Current Assets	147,957	155,927	190,321	211,793	158,104	144,114	149,818	155,927
Long-Term Marketable Securities	77,723	81,118	69,118	57,118	77,888	78,088	84,118	81,118
Net Property, Plant & Equipment	49,834	52,909	60,420	66,885	50,159	50,116	51,431	52,909
Other Assets	83,727	100,835	94,224	100,972	93,146	98,764	97,899	100,835
Non-Current Assets	211,284	234,862	223,762	224,975	221,193	226,968	233,448	234,862
Total assets	359,241	390,789	414,083	436,768	379,297	371,082	383,266	390,789
Current Debt	20,329	13,004	13,004	13,004	13,824	10,307	13,004	13,004
Accounts Payable	69,860	58,326	62,411	65,936	70,587	57,349	64,525	58,326
Other Current Liabilities	66,387	67,374	75,040	79,278	68,543	57,654	62,259	67,374
Deferred Revenues - Current	9,055	9,824	10,408	11,154	9,413	9,331	9,538	9,824
Total Current Liabilities	165,631	148,528	160,863	169,372	162,367	134,641	149,326	148,528
Long-Term Debt	78,328	71,108	70,180	69,252	76,685	74,404	71,340	71,108
Other Non-current Liabilities	41,549	55,080	55,080	55,080	52,055	55,546	55,080	55,080
Total Non-current Liabilities	119,877	126,188	125,260	124,332	128,740	129,950	126,420	126,188
Total liabilities	285,508	274,716	286,123	293,704	291,107	264,591	275,746	274,716
Common stock	93,568	104,134	118,305	133,604	95,221	99,507	100,702	104,134
Retained Earnings	(14,264)	16,447	14,162	13,784	(2,177)	12,359	11,326	16,447
Accumulated Other Comprehensive Income	(5,571)	(4,508)	(4,508)	(4,508)	(4,854)	(5,375)	(4,508)	(4,508)
Total Shareholders' Equity	73,733	116,073	127,960	142,880	88,190	106,491	107,520	116,073
Total Liabilities & Shareholders' Equity	359,241	390,789	414,083	436,584	379,297	371,082	383,266	390,789

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 14: **AAPL Cash Flow Statement****AAPL Cash Flow Statement**

Fiscal Periods:	2025	2026E	2027E	2028E	1Q26	2Q26	3Q26	4Q26E
Net Income	112,010	130,409	144,246	158,543	42,097	29,578	29,789	28,945
Depreciation & Amortization	11,698	13,380	14,409	16,455	3,214	3,439	3,320	3,407
Stock based compensation expense	12,863	13,955	14,172	15,299	3,594	3,528	3,401	3,432
Deferred Taxes & Investment Tax Credit	-	1,544	6,377	6,885	-	-	-	1,544
Other Operating Activities	(89)	(2,037)	-	-	(528.00)	(1,189.00)	(320.00)	-
Net Change in Working Capital	(13,924)	(20,806)	(9,804)	346	(6,985)	(1,422)	(4,536)	(7,863)
Net Change in Other Assets & Liabilities	(11,076)	7,080	6,611	(6,748)	12,533	(5,232)	2,715	(2,936)
Net Cash Flow - Operating	111,482	143,525	176,012	190,779	53,925	28,702	34,369	26,529
Capital Expenditures	(12,715)	(9,504)	(13,200)	(14,200)	(2,373)	(1,971)	(2,455)	(2,705)
Change in Investments / Securities	29,390	(7,232)	12,000	12,000	(2,359)	(2,767)	(5,106)	3,000
Other Investing Activities	(1,480)	(3,960)	(8,720)	(8,720)	(154)	(1,430)	(196)	(2,180)
Net Cash Flow - Investing	15,195	(20,696)	(9,920)	(10,920)	(4,886)	(6,168)	(7,757)	(1,885)
Cash Dividends	(15,421)	(15,737)	(16,080)	(16,710)	(3,921)	(3,822)	(4,035)	(3,959)
Change in Current Debt	(2,032)	(5,911)	-	-	(5,910)	(1)	-	-
Excess tax benefits from stock compensatio	(5,960)	(8,006)	(6,377)	(6,885)	(2,922)	(330)	(3,210)	(1,544)
Change in Long-Term Debt	(6,451)	(8,378)	(928)	(928)	(2,164)	(5,750)	(232)	(232)
Change in Capital Stock	(90,711)	(81,959)	(130,450)	(142,211)	(24,701)	(12,288)	(25,105)	(19,865)
Other Financing Activity	(111)	-	-	-	(38.00)	(88.00)	(58.00)	-
Net Cash Flow - Financing	(120,686)	(119,991)	(153,836)	(166,734)	(39,656)	(22,279)	(32,640)	(25,600)
Net Change in Cash	5,991	2,838	12,256	13,125	9,383	255	(6,028)	(956)
Cash at Beginning of Period	29,943	35,934	38,772	51,028	35,934	45,317	45,572	39,544
Cash at End of Period	35,934	38,772	51,028	64,153	45,317	45,572	39,544	38,588
Free Cash Flow								
As reported:								
Free cash flow	98,767	134,021	162,812	176,579	51,552	26,731	31,914	23,824

Source: Company reports, Bernstein estimates and analysis

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	30 Jul 2026		TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
			Closing Price	Price Target		Cur	2025A	2026E	2027E	2025A	2026E	2027E
AAPL (Apple)	O	USD	333.43	370.00	43.7%	USD	7.46	8.85	10.03	44.7	37.7	33.3
OLD				350.00				8.87	10.65			
SPX			7,437.63									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY**Apple Inc**

We rate Apple Outperform, incr. TP to \$370 on 33x FY28 EPS or 29.5x EV/FCF (prev. FY27)

RISKS**Apple Inc**

The biggest risks to the downside on Apple and to our price target are that: 1) Apple falls too far behind in Gen AI, and ultimately sees its ecosystem disrupted by AI native competitors; 2) Emergence of new form factors cause the smartphone to decline in relevance, eroding Apple's moat and ecosystem as a consequence; 3) Escalation in US-China tensions disrupts Apple's access to both supply and demand from China and 4) Regulatory challenges prevent Apple from effectively monetizing its ecosystem, cutting off high margin revenues streams - although this risk is significantly mitigated by the fact that the most important challenge (the Google DOJ case) has largely passed

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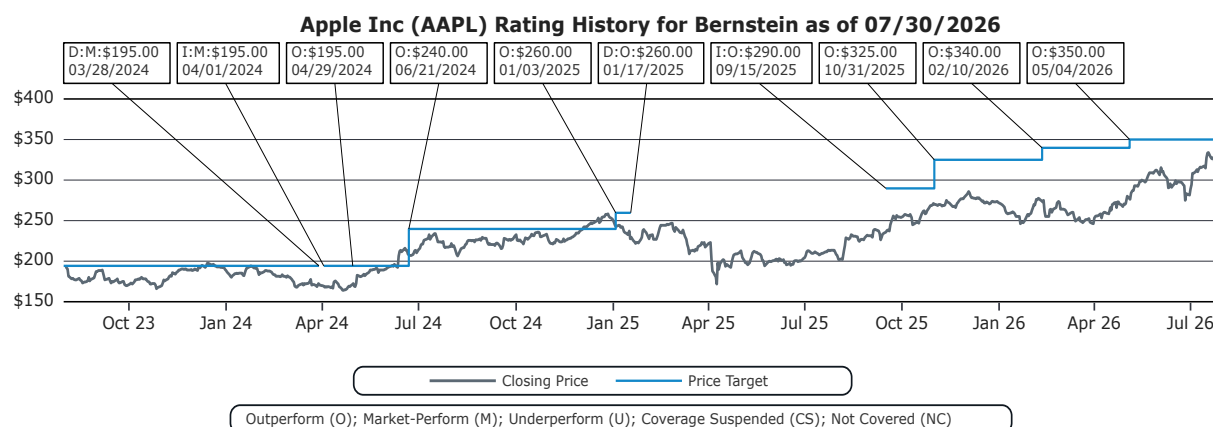
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Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

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